JATHNIER CORPORATION
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M E M O R A N D U M

July 06, 2022 **GM-2022-0706-0005**

TO: **PRODUCTION DEPARTMENT, FINANCE & ADMINISTRATION DEPARTMENT BRANCH OPERATIONS DEPARTMENT.**

FR: **GABRIEL L. CUAYCONG/GM - JC**

Cc: **DLC/MGC/Audit/File**

Re: **POLICIES & PROCEDURES: JATHNIER CORPORATION STANDARD PROCEDURE AND CLASSIFICATIONS OF ALL ITEMS CONSIDERED AS RETURNS (FINISH GOODS, RAW MATERIALS, CONSTRUCTION MATERIALS, SUPPLIES, FIXTURES, TOOLS, UTENSILS & EQUIPMENTS)**

Moving forward to our corporate vision in business year 2022, Jathnier Corporation will implement its Standard Corporate Policy and Procedure on all items considered as **RETURNS**. Any type of transaction that fall into this category of returns will follow strictly the internal control procedure and its proper accounting treatment.

RETURNS

By ACCOUNTING treatment & definition, this are items or materials that are accounted for as INVENTORY in the Company's Financial Books.

RBS inventories are classified on the following:

1. Raw Materials – this are direct materials used to produce goods ready for sale.
2. Work in Process – this are direct materials that undergo initial production process. Such as Pre-mixes and Stuffed materials.
3. Finish Goods – this are the products available for sale.
4. Merchandise – this are finish goods directly supplied by external party or supplier.
5. Packing & Packaging – this are materials used to ensure, enclose or cover the finish goods.
6. MRO materials – this are items or indirect materials use in Maintenance, Repair & Operations. Such as Office supplies, Forms, cleaning supplies & essential item for minor repairs.
7. Tools & Utensils – this are items used for business operations such as, Tongs, Knives, spades, measuring cups, molders, plates, and the like.
8. Equipment – this are rollers, mixers, slicers, ovens, Schaffer, electric proofer, grinders, depository, gas range, weighing scale, lifters & trollies, sound systems w/ speakers, POS machine, Computer, Printer, telephone and internet modems.
9. Furniture & Fixtures – this are showcase, cashiers booth, production tables, office table & chairs, dining table & chairs, proofers, pallets, steel vaults, sunshades, signage & pylons, wall decals, menu boards, decorative lightings, vents & hoods, canopies, wash basin, back up areas, gas cages, emergency lights, medicine cabinets, fire extinguisher and other items.

RATIONALE

All inventories stated above are valuable asset of the company and has to be accounted and managed properly. Upon issuance or delivery of such items from origin (External Supplier, Production, Warehouse & Property Control), to any point of destination, transfer of the accountability of such inventory comes together with the physical movement of such items. In cases wherein this items are to be returned to the originator, this transaction is under the definition of **RETURNS**.

PROCEDURE & GUIDELINES FOR RETURNS

1. RETURNS are to be documented properly using the PULL OUT SLIP, stating clearly all pertinent information of the returned items (e.g. Source, Description, Asset#, Quantity, Unit of Measure, reason of return, Status of the item, Name & signature of requesting personnel & approving officer).
2. Requesting party for returns must follow the approval matrix. Supervisor & Department Head or Manager and submit PULL OUT SLIP to Cost & Inventory Management Section of the Finance Department for proper placement of the transaction, system inventory transfer and schedule of logistics pull out of the return items.
3. Production, Warehouse & Property Custodian – must execute standard receiving procedure of returns and stacking to Classification Area.
4. Classification Area – authorize personnel to do regular item review & classification for all return items placed at the classification area. Authorize Personnel: QA/QC officer, Internal Audit, Cost & Inventory Analysts.
5. Three (3) types of RETURNS Classification status:
   a. Good Items – to be returned to Warehouse inventory of Good Items.
   b. Seconds or Near Expiration – items with remaining economic use, but no longer considered as Good Items. This items are subject for resale at discounted price, bodega sale or scrap sale.
   c. Defective – items for Return to Vendor (RTV), for disposal or destruction.
6. Classification of RETURNS is a Finance & Administration Department and Supply Chain Management Internal Control procedure, and such activity has to be initiated regularly by this departments.
7. Discount rates, Bodega Sale Price and Scrap Sale price are not fix, prices are to be determine by Finance & Administration Department in a specific transaction basis as per approve by Top Management.

CORPORATE POLICY

INVENTORIES is a valuable Asset of the company, thus a full understanding of the responsibility and accountability are expected to all personnel who were assigned and designated as custodian to handle company's assets. **Deviation of these is considered an infraction under the Company Code of Discipline, #16 Company Policy: Offenses against Company Assets and Property.**

This memorandum directive will officially take effect on **July 28, 2022**. Any clarification on this matter please communicate accordingly.

Noted:

Gabriel L. Cuaycong
GM/RBS-JC

Melina G. Comedido
VP/Operations Director-JC